How to Use Your 1031 Exchange Tracker

SKU ACQ-011 · 1031 EXCHANGE TRACKER

What this workbook does

Tracks a §1031 like-kind exchange from the sale of your relinquished STR through identification of replacement property, closing, and basis-carryover. Surfaces the two hard deadlines (45-day ID + 180-day closing) with countdowns, validates identification rules (3-property / 200% / 95% rules), and computes deferred gain.

Critical: this is record-keeping support, NOT legal advice. §1031 has hard, unforgiving deadlines; missing one disqualifies the entire exchange. Always work with a Qualified Intermediary (QI) — required by IRS — and an attorney. This workbook helps you keep your half of the records straight.

First-time setup (15 min)

1. Open tab **Relinquished Property** — sale price, basis, closing date, debt paid off, capital gain (purchase price - basis - improvements).
2. Tab **Qualified Intermediary** — your QI's contact info, escrow account info. Without a QI, the exchange fails.
3. Tab **Settings** — set the active exchange's start date (closing date of relinquished property). Workbook auto-computes both deadlines.

The two deadlines

Both clocks start on the closing date of the relinquished property. **No exceptions, no extensions.**

- **45-day Identification Window:** by midnight of day 45, you must identify replacement property in writing to the QI.
- **180-day Exchange Period:** by midnight of day 180 (or your tax-return due date including extensions, whichever earlier), you must close on the replacement property.

The Calendar tab shows both countdowns. Yellow flag at 14 days remaining; red flag at 7 days.

Identification rules — pick ONE

You must satisfy at least one of these three rules to identify replacement property:

1. **3-Property Rule:** identify up to 3 properties of any value — most common

2. **200% Rule:** identify any number, but total fair market value cannot exceed 200% of relinquished property's value
3. **95% Rule:** identify any number, but you must close on at least 95% (by value) of what you identified

The Identification tab walks the rule selection and validates your list against the rule.

At closing of replacement

1. Enter replacement property details: price, basis, debt assumed, debt forgiven (if any).
2. Workbook computes:

- **Boot received** (cash or debt relief that's NOT reinvested = taxable)
- **Deferred gain** (the gain that rolls forward)
- **Carryover basis** (your basis in the new property = old basis + new debt assumed - old debt forgiven + new cash put in)

Hand to your CPA + attorney

The Closing Summary tab is the print-ready record your CPA needs to file Form 8824 (Like-Kind Exchanges). Save with the exchange agreement, QI escrow records, and identification letter.

⚠ Disclaimers

- §1031 only applies to real property held for investment / business (your STR qualifies; your primary residence does not)
- §1031 between US property and foreign property is disqualified
- §1031 was substantially restricted by TCJA (2017) — no longer applies to personal property (cars, equipment), only real estate
- Missing any deadline disqualifies the exchange — entire deferred gain becomes taxable in the year of sale
- This workbook is record-keeping support, NOT legal advice — always engage a Qualified Intermediary + tax attorney

Questions?

hello@thestrledger.com — real humans, fast replies.

Pair with: STR-003 Refi-or-Sell Decision Matrix (1031 is one of three paths in the decision), TAX-002 P&L Tracker (basis tracking historical), TAX-013 Depreciation Tracker (depreciation recapture math when boot is received).